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Sanhua Intelligent A/H

Multi-year opportunity from global warming, liquid cooling, and robotics; model update, stay OW

We are updating our model as conviction strengthens in Sanhua's compounding growth across key drivers. Sanhua shares are down c.35% YTD (vs MSCI China -9%), as investors remain cautious on the visibility and ramp-up of new businesses, the high base, and FX-related volatility. However, our deep dive and recent discussions with senior management and industry contacts suggest the market is overlooking structural tailwinds from global warming, accelerating AC demand, and the scaling of both liquid cooling and robotics. Op-CF nearly doubled to a record Rmb2.5B in 1H26, consistently matching or exceeding reported profit and highlighting Sanhua's premium cash generation. US-based robotics production is now ramping, with management confirming capacity build-out and positive customer feedback as robotics transitions from technical validation to n. Liquid cooling batch deliveries are accelerating to North America, domestic cloud, and Taiwan Tier 1 customers, with the segment now contributing c.10% of Refrigeration Component revenue and the TAM forecast to reach \$29.5B by 2033. With disciplined margin management and operational flexibility, we see a compelling case to revisit the stock. We revise our price targets to Rmb51/HK \$38, implying c.40%/c.50% potential upside from current levels.

- **Traditional businesses are compounding value through mix upgrades, margin discipline, and global expansion.** Despite the high base and sluggish end demand trend, Sanhua's Auto segment revenue reached Rmb6.5B in 1H26, up 10% Y/Y, with c.70% NEV market coverage and a focus on integrated thermal-management modules and smart features. Management's disciplined approach – prioritizing high-return, risk-controlled projects and taking action on idle custom lines – has kept NPM at c.14% despite industry pressure. In home appliances, Sanhua is leveraging high-end and commercial refrigeration, copper price linkage, and material substitution to defend margins and expand the TAM. With overseas sales now over 40% of total revenue and Op-CF nearly doubling to Rmb2.50B in 1H26, Sanhua's operational flexibility and customer-centricity are driving incremental growth and resilience.
- **New business momentum in robotics and liquid cooling is unlocking the next phase of Sanhua's growth story.** Robotics is moving from technical verification to n, with a leading robotics OEM accelerating ramp and delivery timelines. Management positions robotics as Sanhua's third growth curve, with positive feedback from core customers and capacity build-out underway. Liquid cooling is scaling rapidly, with data-center liquid cooling up over 50% Y/Y in 1H26, c.Rmb1B in sales, and now c.10% of Refrigeration Component segment revenue. Batch deliveries to North America, domestic cloud, and Taiwan Tier 1 customers, plus a product portfolio spanning valves,

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Zhejiang Sanhua Intelligent Controls - A	002050 CH	22,668	CNY	36.22	OW	n/c	51.00	Dec-27	60.00	Jun-27
Zhejiang Sanhua Intelligent Controls - H	2050 HK	13,488	HKD	25.18	OW	n/c	38.00	Dec-27	42.00	Jun-27

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 08 Sep 26.

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

pumps, sensors, and cold plates, are driving wallet share gains as AI compute density rises.

- **Structural tailwinds from global climate and AI trends are expanding Sanhua's addressable market and supporting premium valuation.** Extreme weather and under-penetrated AC markets are driving multi-year volume growth and premium content opportunities, with Europe's AC penetration at c.20% and the EU targeting 100MM+ units by 2030. Chinese AC exports to the EU surged +43.2% Y/Y, and Grade-1 efficient models now exceed 92% of eligible sales. In liquid cooling, TAM is set to reach \$29.5B by 2033, growing c.20% annually, as AI-driven data centers demand higher performance and reliability. Sanhua's technical platform, project teams, and customer relationships are enabling rapid n and margin resilience, positioning the company to capture both volume and value growth as these trends accelerate.

Climate opportunity, liquid cooling scale-up, robotics momentum; model update

We update our model post the 1x1 meeting with senior management, and our conviction in Sanhua's growth trajectory has strengthened. We expect c.25% profit growth for FY27E on a reduced base partly due to the FX impact, driven by Sanhua's ability to expand wallet share across both traditional and emerging business lines. The global AC market is poised for multi-year volume growth, with Europe's household penetration still only c.20% vs 90% in the US, and the EU targeting over 100MM units by 2030. Chinese AC exports to the EU surged +43% Y/Y to \$3.8B in 1H26, and Chinese brands' European market share has risen from 27% in 2023 to 41% in 2026, with Grade-1 efficient models now above 92% of eligible sales. The liquid cooling TAM is forecast to reach \$29.5B by 2033, growing c.20% annually, with Sanhua scaling batch deliveries to North America, domestic cloud, and Taiwan Tier 1 customers, and capturing rising per-unit value (Rmb50k-100k) as AI-driven demand accelerates. Liquid cooling now contributes c.10% of Refrigeration Component (a.k.a. Home Appliance) segment revenue and grew over 50% Y/Y in 1H26. Robotics is progressing from technical validation to n, with capacity build-out underway and positive feedback from core customers, as management positions robotics as Sanhua's third growth curve. Sanhua's Op-CF generation has consistently matched or exceeded reported profit, setting it apart from peers with weaker cash conversion. These structural tailwinds, combined with disciplined margin management and operational flexibility, underpin our forward-looking view that Sanhua is poised to sustain premium growth and cash generation in the years ahead.

Valuation remains the key debate, as Sanhua A/H trades at 28x/17x P/E, compared to the c.25% profit growth we are projecting for FY27E and c20% CAGR for FY26-28E. Our DCF-based PT implies a higher P/E target than peers, justified by Sanhua's superior cash generation and the confirmed ramp-up of new businesses – liquid cooling and robotics – which management described as firm and solid in our recent discussions. While the contribution from these new segments is still limited in the near term, we believe their high growth potential and strategic importance warrant a premium on FY27E earnings. Sanhua A/H down c.35% YTD (vs MSCI China -9%) looks overdone, as robotics and liquid cooling remain firmly positioned in the supply chain with expanding wallet share. Factoring in these developments, we extend our PT date to Dec 2027, keep FY27/28E largely intact (revised by c.3%), and reduce FY26E only for FX impact and lower non-operating income.

Core business is delivering resilient growth and margin discipline despite the headwinds

Auto business is poised to expand wallet share as integrated modules and smart features drive content uplift.

Management reported auto segment revenue of Rmb6.5B in 1H26, up c.10% Y/Y, with coverage of c.70% of NEVs in the market. The company is prioritizing quality of projects and content expansion, focusing on integrated thermal-management modules and autonomous-driving features that lift content per vehicle. Sanhua's early mover advantage in electronic expansion valves and integrated heat management systems is supporting both top-line growth and margin resilience, as the company continues to deepen relationships with leading OEMs.

Profitability discipline remains central as management pursues risk-controlled growth in a competitive landscape.

Despite intense competition and margin pressure, management's lean manufacturing and cost control are keeping profitability intact. The auto segment delivered segment NPM of c.14% in 1H26, with management emphasizing high-return, risk-controlled programs and selective project quality. The company took impairment charges on idle custom lines, demonstrating a willingness to prioritize long-term ROI and sustainable growth over short-term volume. This discipline is helping Sanhua maintain a resilient margin profile even as the industry faces pricing pressure.

Home appliance and refrigeration business is leveraging mix and pricing mechanisms to defend margins and expand TAM.

The refrigeration/aircon segment delivered Rmb10.5B revenue in 1H26, up 0.5% Y/Y, with gross margin holding at c.28%. Management is actively pursuing high-end appliances, commercial refrigeration, and cold chain applications, which support value-per-unit growth. Pricing linkage to copper and material substitution (aluminum/stainless) are helping offset commodity volatility, while FX risk is managed with a dynamic hedge ratio, recently raised to over 50%. These operational levers are allowing Sanhua to maintain margin resilience and expand into new value-added applications, even as the industry faces a high base and softer demand.

Operational flexibility and customer-centricity are enabling Sanhua to capture incremental opportunities in a challenging environment.

Management highlighted that overseas sales now account for over 40% of total revenue, with Op-CF nearly doubling to Rmb2.5B in 1H26. The company's ability to respond quickly to customer needs and adapt product offerings is supporting incremental growth, especially in segments like kitchen appliances and industrial refrigeration. Management's focus on energy efficiency, safety, and reliability is driving demand for core components such as valves, pumps, sensors, and heat exchangers, helping Sanhua outperform peers and maintain a resilient margin profile.

New business in robotics is scaling rapidly, with confirmed momentum and high growth potential

Robotics business is moving from technical verification to ^{commercialization}, with a leading robotics OEM accelerating ramp and delivery timelines and Sanhua focused on value creation.

Management, while keeping a low profile due to the confidentiality agreements, described robotics as Sanhua's third growth curve, highlighting strong confidence in its long-term value potential, which could surpass the NEV business over time. In 1H26, Sanhua's bionic robot actuator products received positive feedback from core customers, with key products advancing toward batch delivery and production ramp-up. The board secretary confirmed that the business is transitioning from R&D and prototype/validation into ^{commercialization}, including volume ramp preparation, capacity build-out, and delivery capability enhancement. Overseas core customers are pushing for faster delivery, prompting Sanhua to improve product consistency, reliability, and manufacturing readiness. Management did not provide explicit margin or pricing guidance for robotics, but emphasized that customer-driven iteration and technical differentiation are supporting value creation and wallet share expansion.

Customer-driven iteration and capacity build-out are unlocking new TAM and positioning Sanhua for sustained robotics growth, with margin supported by technical differentiation and supply chain positioning.

Management emphasized that the industry is shifting from technical verification to n, and Sanhua is actively collaborating with customers to iterate products, prepare capacity, and strengthen delivery capabilities. While near-term revenue depends on customer mass-production schedules, management stressed the strategic importance of robotics and expects the business to become a meaningful growth pillar as n milestones are achieved. Sanhua's ability to meet stringent requirements for consistency and reliability is strengthening its supply chain position, especially as leading OEMs accelerate ramp schedules. Management signaled that technical differentiation and supply chain positioning are supporting margin resilience as robotics scales.

Extreme weather and AI-driven demand are creating structural tailwinds for Sanhua's liquid cooling business and component value expansion

Global heatwaves and under-penetrated AC markets are driving multi-year volume growth and premium content opportunities for Sanhua.

The 2026 European heatwaves have triggered some of the sharpest cooling-demand data on record, with Midea's Porta Split mobile AC selling over 200,000 units in Europe this year – double Y/Y – and total Western European sales rising more than 70% Y/Y in 1H26. Portable AC sales in Germany doubled, DeLonghi's units sold out in the UK, and Currys reported a 3,500% surge in AC product searches. Europe's household AC penetration remains only c.20% versus 90% in the US, and the EU is targeting over 100MM units by 2030. Chinese AC exports to the EU surged +43.2% Y/Y to \$3.8B in 1H26, and Chinese brands' European market share has risen from 27% in 2023 to 41% in 2026, with Grade-1 efficient models now above 92% of eligible sales. This matters for Sanhua because every incremental AC unit – especially inverter and portable-split models – requires electronic expansion valves, four-way reversing valves, and other flow-control content, supporting both volume and mix-driven value expansion.

AI-driven demand and rising compute density are accelerating Sanhua's liquid cooling scale-up and wallet share gains.

The global shift towards high-density computing and AI-driven data centers is reshaping the cooling landscape, with liquid cooling TAM forecast to reach \$29.5B by 2033, growing c.20% annually. Data-center liquid cooling grew over 50% Y/Y in 1H26, reaching c.Rmb1B in sales and now contributing c.10% of Refrigeration Component segment revenue. Management confirmed batch deliveries to key customers across North America, domestic cloud, and Taiwan Tier 1 accounts. The product portfolio spans valves, pumps, sensors, connectors, and cold plates, with certain items reaching Rmb50k-100k content value. As AI compute density rises, customer requirements for performance and reliability are driving up the value per unit, and order cadence is accelerating, prompting urgent equipment procurement.

Sanhua's technical platform and manufacturing know-how are enabling rapid n and margin resilience in liquid cooling.

Management has established dedicated project teams to coordinate BU resources and accelerate product development, ensuring Sanhua can capture both volume and value growth as liquid cooling adoption expands. The breadth of product coverage – from primary and secondary loops to CDU and rack-side solutions – creates multiple entry points for wallet share expansion. Management expects liquid cooling to remain a multi-year strategic priority, with TAM expanding as AI-driven data centers and high-density computing drive demand for advanced cooling solutions. While management did not disclose specific margin targets, they emphasized that technical barriers and customer relationships are supporting pricing power and margin resilience as the business scales.

Figure 1: APAC IA Comp Table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$m	Daily turnover US\$m	YTD Stock perf.	P/E (x)			EPS growth Y/Y		PEG(x)		ROE (%)		P/B (x)	
									FY26E	FY27E	FY26E	FY27E	FY26E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
China/HK automation																			
Inovance	300124 CH	OW	57	84	47%	23,086	320.4	24%	25	21	20%	23%	1.2	16.2	17.4	3.9	3.4		
Estun	002747 CH	OW	30	52	72%	4,126	465.7	28%	120	85	507%	42%	0.2	10.9	11.6	8.6	7.9		
OPT	688686 CH	NC	146	NA	NA	2,661	46.6	18%	71	50	35%	43%	2.1	8.0	10.2	5.5	5.1		
Yiheda	301029 CH	N	25	24	5%	2,407	68.0	4%	26	22	19%	21%	1.4	13.6	15.5	3.5	3.3		
Hongfa	600885 CH	OW	35	43	20%	7,997	95.9	14%	24	19	19%	10%	1.3	16.0	17.7	3.8	3.3		
Leader Drive	688017 CH	OW	293	546	77%	7,996	706.2	52%	360	236	64%	53%	5.6	5.8	8.4	14.6	13.8		
Sanhua-A	002050 CH	OW	36	51	41%	21,680	532.5	35%	32	27	10%	17%	3.3	14.2	14.8	4.3	3.9		
Sanhua-H	2050 HK	OW	25	38	51%	21,680	36.5	34%	19	16	10%	17%	2.0	14.2	14.8	2.6	2.3		
Jiangsu Hengli	601100 CH	OW	102	121	18%	20,416	134.1	7%	46	34	9%	36%	5.2	16.4	19.8	7.2	6.2		
HCFA	688320 CH	NC	32	NA	NA	727	27.5	13%	NA	NA	NA	NA	NA	NA	NA	NA	NA		
SUPCON	688777 CH	NC	88	NA	NA	10,341	301.7	78%	106	73	48%	45%	2.2	6.3	8.7	6.7	6.4		
Shuanghuan Driveline	002472 CH	NC	37	NA	NA	4,696	214.2	22%	22	19	11%	18%	1.9	13.1	13.8	2.8	2.5		
Zhongda Leader	002896 CH	NC	63	NA	NA	1,851	150.4	29%	111	93	78%	19%	1.4	8.7	9.7	9.7	9.0		
UBTech	9880 HK	OW	85	118	39%	5,490	99.4	33%	90	176	48%	151%	-1.9	-5.7	2.9	5.3	5.2		
Zhongda Leader	002896 CH	NC	63	NA	NA	1,851	150.4	29%	111	93	78%	19%	1.4	8.7	9.7	9.7	9.0		
Guomao Reducer	603915 CH	NC	13	NA	NA	1,336	16.9	27%	27	24	40%	12%	0.7	8.2	8.8	2.2	2.1		
Average									67	66	66%	35%	1.9	10.3	12.3	6.0	5.5		
Asia (ex-China) automation																			
Delta	2308 TT	OW	1805	2500	39%	148,773	748.9	87%	42	27	86%	53%	0.5	37.4	44.6	14.2	10.6		
Hiwin	2049 TT	UW	350	160	54%	3,929	46.7	80%	64	55	27%	18%	2.4	5.2	6.0	3.3	3.2		
Airtac	1590 TT	OW	1335	1350	1%	8,472	35.6	44%	27	25	17%	10%	1.6	18.1	18.4	4.7	4.4		
Keyence	6861 JP	NC	76760	NA	NA	121,343	309.8	35%	33	30	27%	12%	1.2	15.5	15.7	4.8	4.3		
FANUC	6954 JP	NC	5797	NA	NA	37,012	259.5	5%	26	24	24%	7%	1.1	10.8	11.4	2.8	2.7		
NSK	6471 JP	NC	1061	NA	NA	3,447	16.7	9%	16	13	40%	28%	0.4	4.7	5.9	0.8	0.7		
SMC	6273 JP	NC	65650	NA	NA	27,254	132.8	21%	19	18	28%	6%	0.7	10.0	9.9	1.9	1.7		
Harmonic Drive System	6324 JP	NC	5700	NA	NA	3,568	70.5	51%	82	56	310%	47%	0.3	8.1	10.9	6.4	5.9		
Yaskawa	6506 JP	NC	4456	NA	NA	7,724	205.7	6%	25	20	33%	24%	0.8	9.3	10.9	2.3	2.1		
THK	6481 JP	NC	6050	NA	NA	4,683	48.1	51%	17	16	NA	3%	NA	15.2	15.8	2.3	2.1		
MISUMI	9962 JP	NC	3534	NA	NA	6,554	33.5	44%	19	17	23%	14%	0.8	12.4	13.7	2.4	2.3		
Nabtesco	6268 JP	NC	4337	NA	NA	3,328	34.3	16%	19	17	74%	10%	0.3	8.7	9.3	1.7	1.6		
Sumitomo	8316 JP	OW	6928	8220	19%	171,168	531.9	37%	14	12	17%	17%	0.8	11.2	12.4	1.6	1.5		
Average									31	25	59%	19%	0.9	12.8	14.2	3.8	3.3		

Source: Bloomberg Finance L.P. Data as of 8 September 2026. J.P. Morgan estimates. Consensus estimates for not covered (NC) companies, J.P. Morgan estimates for all others. Note: For Japanese companies, next FY figures taken because FY ends in March. Past results are not an indicator of future performance.

Overweight

002050.SZ, 002050 CH

Price (08 Sep 26):Rmb36.22

▼ **Price Target (Dec-27):Rmb51.00**

Prior (Jun-27):Rmb60.00

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	92	94	87	89	89
Growth	47	49	30	34	62
Momentum	47	13	59	36	66
Quality	33	35	24	19	42
Low Vol	77	83	73	80	50

Zhejiang Sanhua Intelligent Controls - A

Updating our model, PT date extended; stay OW

Our new DCF-based target price for Sanhua A-share is Rmb51, reflecting an extension of the PT date and a reduction in other operating income, while still implying c.40% potential upside from current levels.

We have revised our target price for Sanhua A-share to Rmb51, down 15% from the previous Rmb60, primarily due to the extension of our PT date and a more conservative assumption for other operating income. The new target price still offers c.40% potential upside from the current price. Our DCF model remains anchored on Sanhua's robust cash generation, with Op-CF consistently matching or exceeding reported profit, and a 2025-28E Op-CF CAGR of c.9%. The premium valuation is justified by Sanhua's compounding growth profile and strong execution across both traditional and emerging business lines.

Sanhua's investment thesis is anchored by compounding growth drivers across traditional and emerging business lines, supporting premium valuation multiples.

Sanhua's growth drivers include resilient performance in auto parts and home appliance businesses, expanding wallet share in liquid cooling, and the n of robotics as a third growth curve. The company's disciplined margin management, strong Op-CF generation, and ability to capture incremental opportunities in both established and new segments underpin our conviction in its multi-year growth runway. Sanhua's premium positioning and execution strength support a higher valuation, even as we adjust for lower other operating income and extend the PT date.

Price Performance



	YTD	1m	3m	12m
Abs	-34.5%	-7.4%	-23.6%	7.2%
Rel	-24.6%	-4.2%	-23.5%	18.9%

Company Data

Shares O/S (mn)	4,200
52-week range (Rmb)	60.77-31.32
Market cap (\$ mn)	22,668
Exchange rate	6.71
Free float (%)	55.6%
3M ADV (mn)	86.77
3M ADV (\$ mn)	542.8
Volatility (90 Day)	53
Index	MXCNX
BBG ANR (Buy Hold Sell)	22 10 3

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	31,012	33,665	37,875	41,834
Adj. EBITDA	6,097	6,300	7,560	8,603
Adj. EBIT	4,945	5,042	6,163	7,033
Adj. net income	4,063	4,269	5,394	6,171
Adj. EPS	0.97	1.02	1.28	1.47
BBG EPS	1.02	1.06	1.25	1.46
Cashflow from operations	5,091	4,647	5,466	6,633
FCFF	1,938	1,145	2,348	4,008
Margins and Growth				
Revenue Growth Y/Y (%)	11.0%	8.6%	12.5%	10.5%
EBITDA margin	19.7%	18.7%	20.0%	20.6%
EBITDA Growth Y/Y (%)	30.4%	3.3%	20.0%	13.8%
EBIT margin	15.9%	15.0%	16.3%	16.8%
Net margin	13.1%	12.7%	14.2%	14.8%
Adj. EPS growth	16.5%	5.1%	26.4%	14.4%
Ratios				
Adj. tax rate	15.2%	15.2%	15.2%	15.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.2%	11.7%	13.3%	13.8%
ROE	15.9%	12.8%	14.6%	14.9%
Valuation				
FCFF yield	1.3%	0.8%	1.5%	2.6%
Dividend yield	0.8%	0.8%	1.0%	1.2%
EV/Revenue	4.6	4.2	3.7	3.3
EV/EBITDA	23.4	22.6	18.7	16.1
Adj. P/E	37.4	35.6	28.2	24.7

Summary Investment Thesis and Valuation

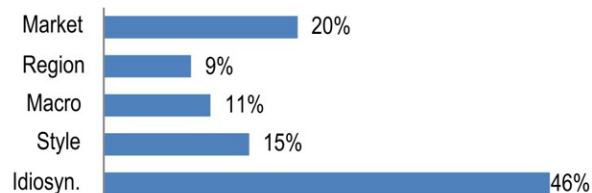
Investment Thesis

Our investment case for Sanhua is based on: 1) the Refrigeration Components business being poised to remain resilient on the back of extended policy support and an increasing contribution from AIDC cooling system demand; 2) Sanhua's auto parts business growth with a diversified customer portfolio; and 3) our increased confidence in the company's strategic positioning within the humanoid robot development landscape. We rate the stock OW.

Valuation

We value Sanhua-A using a discounted cash flow (DCF) valuation methodology. Key valuation assumptions behind our Dec-27 PT of Rmb51 include a WACC of 7.9% (based on $R_f = 2.5\%$ - aligned with the latest China 10-year bond yield, an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4%, target debt-to-capital of 20%, and a terminal growth rate of 3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.45	0.45
Region: China	0.27	0.34
Macro:		
Emerging Central Bank Rate	-0.35	-0.33
Generic 1st 'CO' Future	-0.45	-0.33
Emerging Economies CPI(YoY)	0.41	0.26
Quant Styles:		
Size	-0.50	-0.23
Value	-0.06	-0.22
DivYld	0.01	-0.18

Investment Thesis, Valuation and Risks

Zhejiang Sanhua Intelligent Controls - A (*Overweight; Price Target: Rmb51.00*)

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Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) Lower-than-expected global EV demand, which could put Sanhua's auto parts business at risk and be a catalyst for a potential de-rating of the stock; 2) Greater-than-expected industry competition in the auto segment, which could lead to market share losses for the company; 3) A challenging global macro environment, which could put the refrigeration components business under pressure; and 4) Slower-than-expected humanoid robot business development.

Zhejiang Sanhua Intelligent Controls - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	27,947	31,012	33,665	37,875	41,834	Cash flow from operating activities	4,367	5,091	4,647	5,466	6,633
COGS	(20,270)	(22,087)	(24,010)	(26,861)	(29,516)	o/w Depreciation & amortization	1,029	1,257	1,196	1,336	1,508
Gross profit	7,677	8,924	9,656	11,014	12,318	o/w Changes in working capital	(109)	(596)	(861)	(1,308)	(1,089)
SG&A	(2,665)	(2,836)	(3,079)	(3,388)	(3,700)	Cash flow from investing activities	(3,512)	(3,793)	(3,323)	(2,939)	(2,446)
Adj. EBITDA	4,677	6,097	6,300	7,560	8,603	o/w Capital expenditure	(3,290)	(3,152)	(3,502)	(3,119)	(2,626)
D&A	(1,029)	(1,152)	(1,258)	(1,398)	(1,570)	as % of sales	11.8%	10.2%	10.4%	8.2%	6.3%
Adj. EBIT	3,648	4,945	5,042	6,163	7,033	Cash flow from financing activities	(955)	7,802	(2,275)	(1,930)	(2,000)
Net Interest	(31)	117	244	251	297	o/w Dividends paid	(1,445)	(1,088)	(1,176)	(1,235)	(1,561)
Adj. PBT	3,692	4,844	5,086	6,414	7,330	o/w Shares issued/(repurchased)	337	9,734	0	0	0
Tax	(580)	(737)	(774)	(976)	(1,115)	o/w Net debt issued/(repaid)	516	(392)	(1,100)	(695)	(439)
Minority Interest	(13)	(44)	(44)	(44)	(44)	Net change in cash	(181)	9,044	(951)	597	2,187
Adj. Net Income	3,099	4,063	4,269	5,394	6,171	Adj. Free cash flow to firm	1,076	1,938	1,145	2,348	4,008
Reported EPS	0.83	0.97	1.02	1.28	1.47	y/y Growth	10.0%	80.1%	(40.9%)	105.0%	70.7%
Adj. EPS	0.83	0.97	1.02	1.28	1.47						
DPS	0.25	0.28	0.29	0.37	0.43						
Payout ratio	30.1%	28.9%	28.9%	28.9%	28.9%						
Shares outstanding	3,731	4,200	4,200	4,200	4,200						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,249	14,912	13,961	14,558	16,745	Gross margin	27.5%	28.8%	28.7%	29.1%	29.4%
Accounts receivable	9,628	10,993	12,102	13,805	15,373	EBITDA margin	16.7%	19.7%	18.7%	20.0%	20.6%
Inventories	5,280	5,640	6,251	7,127	7,832	EBIT margin	13.1%	15.9%	15.0%	16.3%	16.8%
Other current assets	2,144	2,178	2,205	2,249	2,290	Net profit margin	11.1%	13.1%	12.7%	14.2%	14.8%
Current assets	22,301	33,723	34,519	37,739	42,240	ROE	16.7%	15.9%	12.8%	14.6%	14.9%
PP&E	9,794	11,673	12,495	13,656	14,978	ROA	9.1%	9.5%	8.4%	9.9%	10.3%
LT investments	-	-	-	-	-	ROCE	13.6%	14.2%	11.7%	13.3%	13.8%
Other non current assets	4,259	4,010	5,316	5,758	5,374	SG&A/Sales	9.5%	9.1%	9.1%	8.9%	8.8%
Total assets	36,355	49,406	52,330	57,153	62,592	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	2,144	2,983	1,154	862	677	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	9,777	10,189	11,076	12,391	13,616	Sales/Assets (x)	0.8	0.7	0.7	0.7	0.7
Other short term liabilities	1,712	2,193	2,193	2,193	2,193	Assets/Equity (x)	1.83	1.68	1.53	1.48	1.45
Current liabilities	13,633	15,365	14,422	15,446	16,486	Interest cover (x)	149.7	NM	NM	NM	NM
Long-term debt	2,046	863	1,593	1,190	935	Operating leverage	34.8%	324.3%	23.0%	177.7%	135.1%
Other long term liabilities	1,156	1,138	1,138	1,138	1,138	Tax rate	15.7%	15.2%	15.2%	15.2%	15.2%
Total liabilities	16,835	17,366	17,153	17,774	18,559	Revenue y/y Growth	13.8%	11.0%	8.6%	12.5%	10.5%
Shareholders' equity	19,298	31,749	34,842	39,000	43,610	EBITDA y/y Growth	10.7%	30.4%	3.3%	20.0%	13.8%
Minority interests	222	291	335	379	423	EPS y/y Growth	2.5%	16.5%	5.1%	26.4%	14.4%
Total liabilities & equity	36,355	49,406	52,330	57,153	62,592						
BVPS	5.17	7.56	8.30	9.29	10.38	Valuation					
y/y Growth	4.2%	46.2%	9.7%	11.9%	11.8%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(1,058)	(11,066)	(11,215)	(12,506)	(15,132)	P/E (x)	43.6	37.4	35.6	28.2	24.7
						P/BV (x)	7.0	4.8	4.4	3.9	3.5
						EV/EBITDA (x)	32.6	23.4	22.6	18.7	16.1
						Dividend Yield	0.7%	0.8%	0.8%	1.0%	1.2%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

2050.HK, 2050 HK

Price (08 Sep 26): HK\$25.18

▼ **Price Target (Dec-27): HK\$38.00**

Prior (Jun-27): HK\$42.00

Infrastructure, Industrials & Transport

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	78	89	91	95	
Growth	54	37		55	65
Momentum	68	24			
Quality	33	29	23		
Low Vol	88	93	92		

Zhejiang Sanhua Intelligent Controls - H

Updating our model with PT date extended

Our new DCF-based target price for Sanhua H-share is HK\$38, reflecting a 10% reduction from the prior HK\$42, but still implying c.48% upside from current levels.

We have revised our target price for Sanhua H-share to HK\$38 from the previous H\$42 primarily due to the extension of our PT date and a more conservative assumption for other operating income. The new target price still offers c.50% potential upside from the current share price. Our DCF model remains anchored on Sanhua's robust cash generation, with Op-CF consistently matching or exceeding reported profit, and a 2026-28E Op-CF CAGR of c.20%. The premium valuation is justified by Sanhua's compounding growth profile, and strong execution across both traditional and emerging business lines.

The wide A-H gap since the June 2025 H-share listing reflects conservative investor views on new business visibility.

Sanhua H shares have been listed since June 2025, and the current A-H premium stands at c.30%, highlighting a notable valuation gap compared to other A-share companies that have listed H shares, such as CATL and Sany Heavy, which have generally attracted stronger institutional interest. This wider spread suggests H-share investors are taking a more conservative stance, particularly regarding the visibility and ramp-up of new businesses such as liquid cooling and robotics. While management has confirmed solid progress and positive feedback in these segments, the market remains cautious, with many investors waiting for more tangible evidence of scale and profitability before fully pricing in the upside. We believe this conservatism presents an opportunity for those willing to look through near-term uncertainty and focus on Sanhua's compounding growth drivers and execution track record.

Price Performance



	YTD	1m	3m	12m
Abs	-34.3%	-6.2%	-16.9%	-25.4%
Rel	-28.5%	-4.7%	-17.6%	-17.5%

Company Data

Shares O/S (mn)	4,200
52-week range (HK\$)	46.48-24.12
Market cap (\$ mn)	13,488
Exchange rate	7.84
Free float (%)	96.8%
3M ADV (mn)	10.64
3M ADV (\$ mn)	36.8
Volatility (90 Day)	50
Index	HSCEI
BBG ANR (Buy Hold Sell)	-

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	31,012	33,665	37,875	41,834
Adj. EBITDA	6,097	6,300	7,560	8,603
Adj. EBIT	4,945	5,042	6,163	7,033
Adj. net income	4,063	4,269	5,394	6,171
Adj. EPS	0.97	1.02	1.28	1.47
BBG EPS	-	-	-	-
Cashflow from operations	5,091	4,647	5,466	6,633
FCFF	1,938	1,145	2,348	4,008
Margins and Growth				
Revenue Growth Y/Y (%)	11.0%	8.6%	12.5%	10.5%
EBITDA margin	19.7%	18.7%	20.0%	20.6%
EBITDA Growth Y/Y (%)	30.4%	3.3%	20.0%	13.8%
EBIT margin	15.9%	15.0%	16.3%	16.8%
Net margin	13.1%	12.7%	14.2%	14.8%
Adj. EPS growth	16.5%	5.1%	26.4%	14.4%
Ratios				
Adj. tax rate	15.2%	15.2%	15.2%	15.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.2%	11.7%	13.3%	13.8%
ROE	15.9%	12.8%	14.6%	14.9%
Valuation				
FCFF yield	2.1%	1.3%	2.6%	4.4%
Dividend yield	1.3%	1.4%	1.7%	2.0%
EV/Revenue	2.5	2.3	2.0	1.8
EV/EBITDA	12.8	12.3	10.1	8.6
Adj. P/E	22.3	21.2	16.8	14.7

Summary Investment Thesis and Valuation

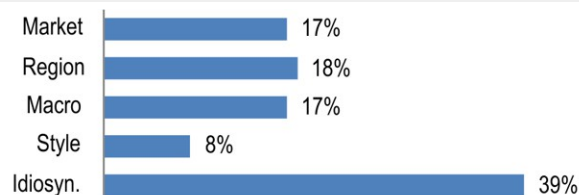
Investment Thesis

Our investment case for Sanhua is based on: 1) the Refrigeration Components business being poised to remain resilient on the back of extended policy support and an increasing contribution from AIDC cooling system demand; 2) Sanhua's auto parts business growth with a diversified customer portfolio; and 3) our increased confidence in the company's strategic positioning within the humanoid robot development landscape. We rate the stock OW

Valuation

We value Sanhua-H using a discounted cash flow (DCF) valuation methodology. Key valuation assumptions behind our Dec-27 PT of HK\$38 include a WACC of 7.9% (based on $R_f = 2.5\%$ - aligned with the latest China 10-year bond yield, an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4%, target debt-to-capital of 20%, and a terminal growth rate of 3%. We also adopt an A/H premium of c.25% to reflect the recent widening A/H premium trend.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.35	0.42
Region: China	0.45	0.47
Macro:		
Emerging Central Bank Rate	-0.54	-0.43
Emerging Economies CPI(YoY)	0.59	0.41
Generic 1st 'CO' Future	-0.49	-0.36
Quant Styles:		
Size	-0.49	-0.16
Value	0.05	-0.14
Growth	-0.15	0.13

Investment Thesis, Valuation and Risks

Zhejiang Sanhua Intelligent Controls - H (*Overweight; Price Target: HK \$38.00*)

Investment Thesis

Our investment case for Sanhua is based on: 1) the Refrigeration Components business being poised to remain resilient on the back of extended policy support and an increasing contribution from AIDC cooling system demand; 2) Sanhua's auto parts business growth with a diversified customer portfolio; and 3) our increased confidence in the company's strategic positioning within the humanoid robot development landscape. We rate the stock OW.

Valuation

We value Sanhua-H using a discounted cash flow (DCF) valuation methodology. Key valuation assumptions behind our Dec-27 PT of HK\$38 include a WACC of 7.9% (based on $R_f = 2.5\%$ - aligned with the latest China 10-year bond yield, an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4%, target debt-to-capital of 20%, and a terminal growth rate of 3%. We also adopt an A/H premium of c.25% to reflect the recent widening A/H premium trend.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) Lower-than-expected global EV demand, which could put Sanhua's auto parts business at risk and be a catalyst for a potential de-rating of the stock; 2) Greater-than-expected industry competition in the auto segment, which could lead to market share losses for the company; 3) A challenging global macro environment, which could put the refrigeration components business under pressure; and 4) Slower-than-expected humanoid robot business development.

Zhejiang Sanhua Intelligent Controls - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	27,947	31,012	33,665	37,875	41,834	Cash flow from operating activities	4,367	5,091	4,647	5,466	6,633
COGS	(20,270)	(22,087)	(24,010)	(26,861)	(29,516)	o/w Depreciation & amortization	1,029	1,257	1,196	1,336	1,508
Gross profit	7,677	8,924	9,656	11,014	12,318	o/w Changes in working capital	(109)	(596)	(861)	(1,308)	(1,089)
SG&A	(2,665)	(2,836)	(3,079)	(3,388)	(3,700)	Cash flow from investing activities	(3,512)	(3,793)	(3,323)	(2,939)	(2,446)
Adj. EBITDA	4,677	6,097	6,300	7,560	8,603	o/w Capital expenditure	(3,290)	(3,152)	(3,502)	(3,119)	(2,626)
D&A	(1,029)	(1,152)	(1,258)	(1,398)	(1,570)	as % of sales	11.8%	10.2%	10.4%	8.2%	6.3%
Adj. EBIT	3,648	4,945	5,042	6,163	7,033	Cash flow from financing activities	(955)	7,802	(2,275)	(1,930)	(2,000)
Net Interest	(31)	117	244	251	297	o/w Dividends paid	(1,445)	(1,088)	(1,176)	(1,235)	(1,561)
Adj. PBT	3,692	4,844	5,086	6,414	7,330	o/w Shares issued/(repurchased)	337	9,734	0	0	0
Tax	(580)	(737)	(774)	(976)	(1,115)	o/w Net debt issued/(repaid)	516	(392)	(1,100)	(695)	(439)
Minority Interest	(13)	(44)	(44)	(44)	(44)	Net change in cash	(181)	9,044	(951)	597	2,187
Adj. Net Income	3,099	4,063	4,269	5,394	6,171	Adj. Free cash flow to firm	1,076	1,938	1,145	2,348	4,008
Reported EPS	0.83	0.97	1.02	1.28	1.47	y/y Growth	10.0%	80.1%	(40.9%)	105.0%	70.7%
Adj. EPS	0.83	0.97	1.02	1.28	1.47						
DPS	0.25	0.28	0.29	0.37	0.43						
Payout ratio	30.1%	28.9%	28.9%	28.9%	28.9%						
Shares outstanding	3,731	4,200	4,200	4,200	4,200						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,249	14,912	13,961	14,558	16,745	Gross margin	27.5%	28.8%	28.7%	29.1%	29.4%
Accounts receivable	9,628	10,993	12,102	13,805	15,373	EBITDA margin	16.7%	19.7%	18.7%	20.0%	20.6%
Inventories	5,280	5,640	6,251	7,127	7,832	EBIT margin	13.1%	15.9%	15.0%	16.3%	16.8%
Other current assets	2,144	2,178	2,205	2,249	2,290	Net profit margin	11.1%	13.1%	12.7%	14.2%	14.8%
Current assets	22,301	33,723	34,519	37,739	42,240	ROE	16.7%	15.9%	12.8%	14.6%	14.9%
PP&E	9,794	11,673	12,495	13,656	14,978	ROA	9.1%	9.5%	8.4%	9.9%	10.3%
LT investments	-	-	-	-	-	ROCE	13.6%	14.2%	11.7%	13.3%	13.8%
Other non current assets	4,259	4,010	5,316	5,758	5,374	SG&A/Sales	9.5%	9.1%	9.1%	8.9%	8.8%
Total assets	36,355	49,406	52,330	57,153	62,592	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	2,144	2,983	1,154	862	677	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	9,777	10,189	11,076	12,391	13,616	Sales/Assets (x)	0.8	0.7	0.7	0.7	0.7
Other short term liabilities	1,712	2,193	2,193	2,193	2,193	Assets/Equity (x)	1.8	1.7	1.5	1.5	1.4
Current liabilities	13,633	15,365	14,422	15,446	16,486	Interest cover (x)	149.7	NM	NM	NM	NM
Long-term debt	2,046	863	1,593	1,190	935	Operating leverage	34.8%	324.3%	23.0%	177.7%	135.1%
Other long term liabilities	1,156	1,138	1,138	1,138	1,138	Tax rate	15.7%	15.2%	15.2%	15.2%	15.2%
Total liabilities	16,835	17,366	17,153	17,774	18,559	Revenue y/y Growth	13.8%	11.0%	8.6%	12.5%	10.5%
Shareholders' equity	19,298	31,749	34,842	39,000	43,610	EBITDA y/y Growth	10.7%	30.4%	3.3%	20.0%	13.8%
Minority interests	222	291	335	379	423	EPS y/y Growth	2.5%	16.5%	5.1%	26.4%	14.4%
Total liabilities & equity	36,355	49,406	52,330	57,153	62,592						
BVPS	5.17	7.56	8.30	9.29	10.38	Valuation					
y/y Growth	4.2%	46.2%	9.7%	11.9%	11.8%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(1,058)	(11,066)	(11,215)	(12,506)	(15,132)	P/E (x)	25.9	22.3	21.2	16.8	14.7
						P/BV (x)	4.2	2.9	2.6	2.3	2.1
						EV/EBITDA (x)	18.8	12.8	12.3	10.1	8.6
						Dividend Yield	1.2%	1.3%	1.4%	1.7%	2.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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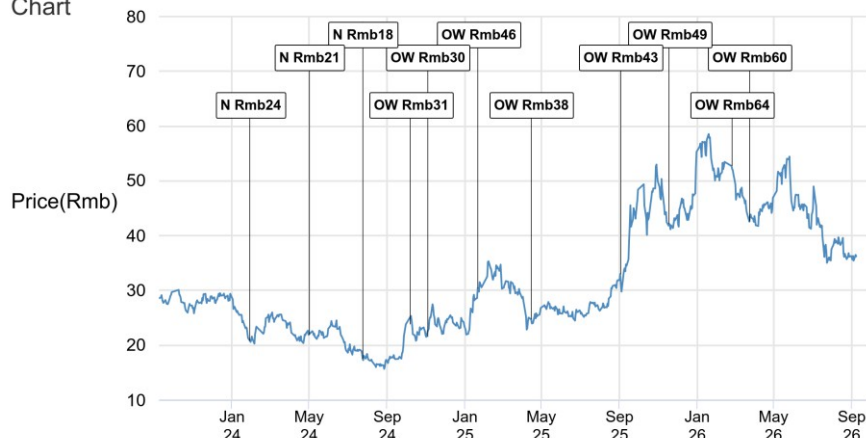
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- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Zhejiang Sanhua Intelligent Controls - A, Zhejiang Sanhua Intelligent Controls - H or related entities.
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Zhejiang Sanhua Intelligent Controls - A (002050.SZ, 002050 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
30-Jan-24	N	20.81	24
02-May-24	N	21.91	21
25-Jul-24	N	17.58	18
08-Oct-24	OW	23.83	31
04-Nov-24	OW	21.53	30
22-Jan-25	OW	30.38	46
16-Apr-25	OW	24.75	38
03-Sep-25	OW	33.00	43
19-Nov-25	OW	42.14	49
25-Feb-26	OW	52.73	64
25-Mar-26	OW	42.57	60

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 29, 2021. All share prices are as of market close on the previous business day.

Zhejiang Sanhua Intelligent Controls - H (2050.HK, 2050 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
11-Sep-25	OW	31.44	41
19-Nov-25	OW	32.96	42
25-Feb-26	OW	35.80	45
25-Mar-26	OW	28.86	42

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 11, 2025. All share prices are as of market close on the previous business day.

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